Order selection Functional IC CV

FARFIMA(1,d,0)

FARFIMA(0,d,1)

FARFIMA(2,d,0)

FARFIMA(1,d,1)

ψ = 0.2 | ψ = 0.5 | ψ = 0.8 | ν = 0.2 | ν = 0.5 | ν = 0.8 | ψ = ν = 0.2 | ψ = ν = 0.5 | ψ = ν = 0.8

d = 0.2 | d = 0.6 | d = 1 | d = 1.4

RMSE ratio to FARFIMA(1,1,0)

1.0 0.9 0.8

1 2 3 4 5 6 7 8 9 10

Forecast horizon h